# EXECUTIVE SUMMARY

## 1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for RA 7160, known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax.
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for the calendar year 2018 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, performance and compliance audits were conducted to achieve these audit objectives.

## 2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Sta.Teresita, Cagayan for the year ended December 31, 2018, with comparative figures for calendar year 2017 are as follows:

| Particulars | 2018 | 2017 | Increase/(Decrease) | |
|---|---|---|---|---|
| | | | Amount | Percentage |
| **Financial Position** | | | | |
| Assets | 158,014,671.00 | 120,967,595.73 | 37,047,075.27 | 30.63% |
| Liabilities | 47,884,433.06 | 28,174,411.43 | 19,710,021.63 | 69.96% |
| Govt. Equity | 110,130,237.94 | 92,793,184.30 | 17,337,053.64 | 18.68% |
| **Financial Performance** | | | | |
| Income | 97,283,857.71 | 90,557,784.87 | 6,726,072.84 | 7.43% |
| Expense | 79,932,426.03 | 67,443,094.33 | 12,489,331.70 | 18.52% |
| **Appropriations, Allotments and Obligation** | | | | |
| Appropriations | 135,645,713.03 | 104,445,725.71 | 31,199,987.32 | 29.87% |
| Allotments | 135,645,713.03 | 104,445,725.71 | 31,199,987.32 | 29.87% |
| Obligations | 91,600,016.57 | 72,552,426.82 | 19,047,589.75 | 26.25% |

## 3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan as at December 31, 2018 due to noncompliance of the municipality with the transition provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as provided under Item IX of COA Circular No. 2015-008 dated November 23, 2015 due to lacking Registry for Public Infrastructure and Local Road Inventory and Road Map, thus affecting the fair presentation of the "Road Network" account amounting P983,026.73 as at December 31, 2018.

## 4. Summary of Significant Audit Observations and Recommendations

Below is the recommendation on the above basis for qualified opinion:

- We recommended that the Municipal Mayor direct the:

    1. General Service Officer (GSO) to maintain an updated Local Road Inventory and Road Map and keep a complete Local Road Network Property Card of all roads within its area of jurisdiction;

    2. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road projects;

    3. Municipal Accountant to:
        a) Record amount of road networks equivalent to the required transition provision percentage every year starting 2016 up to 2019, based on the

Local Road Inventory Report provided with complete description and cost segregation of the road components; and

b) Provide proper disclosure of the road networks in the Notes to Financial Statements.

4. Inventory committee to conduct inventory and appraisal of local roads, bridges and other component structures within its area of jurisdiction which were acquired thru purchase or construction, donations or transfers without cost and submit the same for recognition or recording thereof in the books of the Municipality.

The other significant audit observations and recommendations are the following:

- Priority development project under the 20% Development Fund for the calendar year 2018 of the Municipality amounting to P1 million was not implemented as at year-end, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desirable socio-¬economic development and environmental outcomes was not attained and timely benefits from the said project was not received by the intended beneficiaries.

  We recommended that Management fast-track the implementation of the subject priority project in order to avoid accumulation of unimplemented projects and to ensure the optimal utilization of 20% development fund in the ensuing year.

- LDRRM funds totaling P1,149,427.99 or 44.41% of the mitigation fund amounting to P2,588,247.69 were unutilized as at year-end thus the objectives for the projects and activities towards disaster mitigation were not fully attained contrary to Section 21 of Republic Act No. 10121, thereby deprived the constituents of disaster preparedness and mitigation benefits. Also the Report on the Utilization of the Local Disaster Risk and Reduction Management Fund for the year ended December 31, 2018 does not present information on the continuing appropriations and special trust fund as required in the format prescribed in COA Circular No. 2012-002 dated September 12, 2012.

  We recommended that Management through the LDRMM Council identify the priority programs for disaster mitigation and preparedness of the Municipality to utilize the prior year's LDRRM fund and fast track the implementation of the programs, projects and activities (PPAs) included in the 2018 LDRRMFIP of the Municipality to fully achieve the objectives of the fund pursuant to Section 21 of the Republic Act No. 10121 to deliver much needed programs and services to the constituents of the Municipality. We further recommended Management to include in the monthly Report on the Utilization of the LDRRMF an information on the continuing appropriations and special trust fund as required in the format prescribed in COA Circular No. 2012-002 dated September 12, 2012.

## 5. Summary of Total Suspensions, Disallowances and Charges

The Municipality has zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2018.

## 6. Status of Implementation of Prior Years' Audit Recommendations

Out of the five (5) audit recommendations of last year's report, four (4) were fully implemented while one (1) was partially implemented as at year-end.